Insurance & Pensions Commission

Circular 10 of 2023

8 March 2023

TO: **Zimbabwe Association of Pension Funds (ZAPF)**

Life Offices Association of Zimbabwe (LOA)

Insurance Brokers Association of Zimbabwe (IBAZ)

Pension Fund Administrators

Self-Administered Pension Funds

Issuance of the Directive for the Insurance and Pensions Industry on Equities and Properties Valuations.

1. The Insurance and Pensions Commission has adopted the valuation directive issued by the Securities and Exchange Commission to guide the securities market in the valuation of equities and property.
2. The Insurance and Pensions Commission considered the methodologies provided under the SEC Directive, given the inconsistency characterising valuation methodologies applied by the Insurance and Pensions Industry. Following the consideration, the Commission has adopted the methodologies prescribed through the SEC Directive which have been incorporated into the IPEC Directive.
3. The directive is attached to this Circular for your attention and implementation effective date is 01 May 2023.

Please be guided accordingly.

Yours Sincerely

Grace Muradzikwa
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Directive for the Insurance and Pensions Industry on Equities and Properties Valuations.

Background

The Securities and Exchange Commission of Zimbabwe (SECZ) issued directive SS 29/01/2021, which sought to standardise Listed Equities and Property valuations. The Directive applies to Securities Market Intermediaries. The Insurance and Pensions Commission considered the methodologies provided under the SECZ Directive, given the inconsistency characterising valuation methodologies applied by the Insurance and Pensions Industry. Following the consideration, the Commission has adopted the methodologies prescribed through the SECZ Directive.

Basis

The Insurance and Pensions Commission, has in terms of section 3(1) of Statutory Instrument 69 of 2020 and section 5(f) of the Pensions and Provident Funds Act [*Chapter 24:32*], issued the following Directive, which may be cited as the Insurance and Pensions Industry Directive on Equities and Properties Valuations.

Application

This Guideline shall apply to all insurers, mutual insurance societies, insurance brokers; pension and provident funds and any other entity registered or regulated by the Insurance and Pensions Commission in terms of the Insurance Act [*Chapter 24:07*] and Pensions and Provident Fund Act [*Chapter 24:31*].

This guideline shall refer collectively to such entities as "regulated entity or entity."

Responsibility

It shall be the responsibility of the board of every regulated entity to ensure compliance with this Guideline.

Valuation Methodologies

Equities

1. The Volume Weighted Average Price (VWAP) produced by the Securities Exchanges shall be adopted for the valuation of all listed equities.

Properties

2. The Board of a regulated entity shall:

2.1. Ensure that it, or the persons that it engages have the necessary expertise, internal control systems and risk management mechanisms to invest in and manage investments in properties.

2.2. Exercise due diligence in maintenance of the properties and ensure that there is no avoidable deterioration in their value

2.3. Ensure income from the properties is collected and adequately insure properties against impairment and damage.

3. Regarding the valuation of property:

3.1. The Board shall appoint a valuer to conduct a valuation of the properties which have vested in the entity or are proposed to be acquired by the entity.

3.2. The valuer must be duly registered and in good standing with the Valuers Council of Zimbabwe (VCZ) in terms of the Valuers Act [Chapter 27:18].

3.3. The regulated entity shall not use the same valuation agency (Valuer) for a period exceeding five years. That is, if an entity contracts the same valuer for a continuous period of five years, the valuer must be changed at the end of the fifth year.

3.4. All valuations shall be made in the official functional currency of Zimbabwe, where applicable, converted from another currency at the prevailing official exchange rate when the valuation is made. However, where business is transacted in a currency that is different from the official functional currency (for example USD fund when the functional currency is ZW$), valuations should be done in the currency of transaction.

3.5. The valuations must be carried out by parties independent to regulated entity.

3.6. A valuer shall not be independent if the valuer or its partners, directors, officers, or key personnel have financial, professional, or other interests that could affect the ability of the valuer to render unbiased professional services to the entity, the Client in relation to the entity or its assets, including any assets that it considers acquiring.

3.7. A valuer shall conduct:

(a) a full valuation based on a full physical inspection of all sites and inspection of all buildings, any facilities erected thereon and connected plant and equipment at least once every three years; and

(b) at least annually, after an initial full valuation, a desk top review unless the regulated entity is of the opinion that a full physical inspection is necessary.

3.8. Any assumptions used in the valuation shall be clearly stated in the Valuation Report, and shall be realistic, relevant, and adequately substantiated by reference to physical, functional and market factors.

3.9. A valuer shall take into consideration, the assessment reports under paragraphs 3.1 and 3.3 in its valuation and shall disclose the details of the assessment reports.

3.10. The valuations shall be carried out and reported in accordance with International Financial Reporting Standard (IFRS) fair value principles as well as International Valuation Standards.

3.11. Upon contracting the valuer, the regulated entity must specify the purpose of the valuation and the valuation date.

3.12. Where a margin of error occurs on valuations performed by two different valuers, a 15% cap on difference should be maintained. In the event of a breach of the upper limit, another independent valuation must be conducted.

4. Other Professional Services

4.1. The regulated entity, in consultation with its investment management company, may appoint a project manager certifier to carry out an independent assessment where the assets of the regulated entity involve land under development, construction; and a contract to acquire assets under construction.

4.2. The project manager certifier shall have the requisite skills and expertise to:

(a) monitor and report to the regulated entity and the investment management company on the progress and cost of the development or construction work being planned or undertaken.

(b) monitor whether the work has been completed in accordance with the budget, project plan and payment schedule or any variations prepared by the investment management company and approved by the Client.

(c) provide an estimate to the cost and time required to complete the development and construction work relative to the budget and project plan.

4.3. In addition to paragraph 3.1, the entity may instruct the Securities (investment management) company to appoint a structural engineer who shall ensure that the state of repair of the property, including the services, systems, materials, plant, and equipment, is independently assessed and latent defects identified. These factors shall be taken into consideration in any valuation.

5. Disclosures and Reporting

5.1. The regulated entity shall at the end of each quarter receive a report from its investment management company, which shall include, at minimum:

- details of any material litigation, potential impact and any events or circumstances, which is likely to impact on the future performance of the regulated entity.
- where appropriate, a sensitivity analysis table illustrating the impact on performance of changes in key variables; and

5.2. Details of properties which shall include:

(a) Title deeds and particulars of property attached.

(b) Details of the price for which the property was acquired.

(c) Details of current usage and permitted usage for each property and lettable area or other relevant metric, including :-

- details of any encumbrances or limits on the title;
- net lettable area or other determinants of income;
- brief particulars of tenancies or other usage rights;
- occupancy rates over the last five years;
- historical rental income trends as well as projected income based on current leases;
- level of rental income relative to the current market; and
- geographical spread of the properties.

(d) If the property vested in or to be acquired by or transferred to the Regulated entity is currently leased then, details of :–

- existing and contracted tenants, including area tenanted, number of leases, term for each lease, an expiry profile for leases, gross rental income and concentrations, details of rent reviews and occupancy rates for prior five years (where applicable);
- historic vacancy factors;
- the levels of rental income relative to the current market;
- revenues received for the past five years where available;
- rents in arrears or written off;
- the operating costs including maintenance; and

- geographical spread of the properties.

(e) Where the Securities (investment management) company proposes to undertake development and construction activities the report shall include:-

- Details of the property on which the development or construction is to be undertaken;
- Details of the price for which the property was acquired;
- Details of the usage of the property on completion and the property manager's strategy for marketing the property or acquiring tenants.
- A detailed description of the development or construction to be undertaken and of any report or estimates by the project manager.
- Details of approvals and consents required and the time frames for obtaining the same;
- A budget, work plan and timeframe to undertake the development and construction together with details of all consents and approvals required;
- An assessment from the structural engineer and the project manager as appropriate as to whether he considers the budget and costings for the development and/or construction are reasonable; and
- An assessment by the investment manager of the existence of market to sell or lease up the property when completed together with any expert assessments of the market.

5.3. Where there have been acquisitions or disposals during the period, details of the anticipated impact of the acquisition or disposal on earnings.

5.4. Where the acquisition or disposal of properties during the period involves a connected person, information required to be disclosed shall contain details of the relationship.